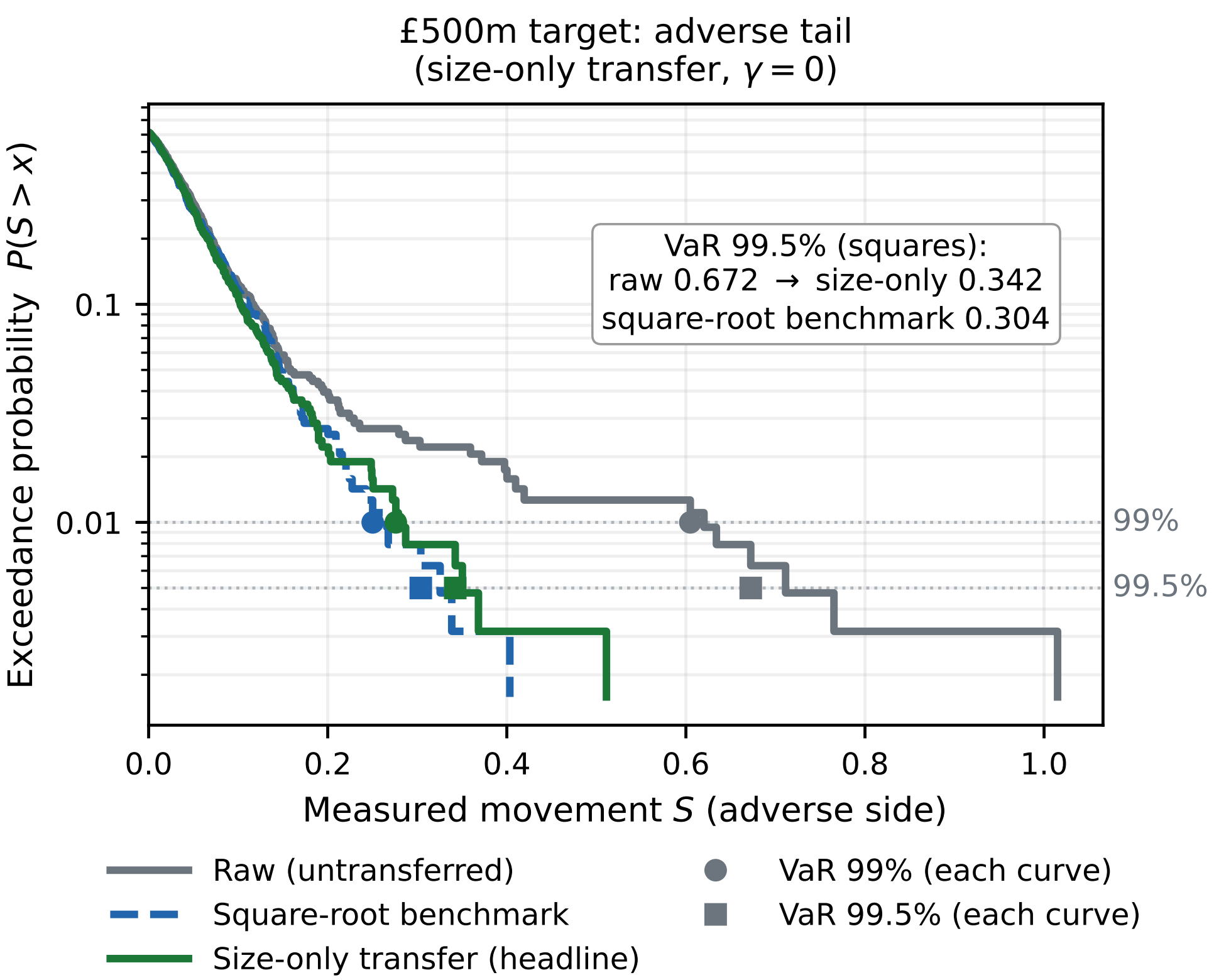
£500m target: adverse tail
(size-only transfer, $\gamma = 0$)
Exceedance probability $P(S > x)$
0.1
0.01
99%
99.5%
VaR 99.5% (squares):
raw 0.672 → size-only 0.342
square-root benchmark 0.304
0.0
0.2
0.4
0.6
0.8
1.0
Measured movement S (adverse side)
Raw (untransferred)
Square-root benchmark
Size-only transfer (headline)
VaR 99% (each curve)
VaR 99.5% (each curve)